Task 2–Kim's Responses

Note: The below message was received as a response to your email to Kim requesting responses to the initial set of questions compiled earlier in this task-based simulation. Read Kim's responses, and see her answers shown in blue text below. Any questions to which Kim did not provide a reply must be followed-up with during the next task (where a client walkthrough of the purchasing process will be simulated).

A) EMAILED RESPONSE FROM KIM:

Hi!

Thank you very much for compiling your detailed listing of questions surrounding ABC Company's purchasing process and controls. Based on your list, it's clear that you are gaining a thorough understanding of the subject matter. Keep up the great work!

As far as the requested responses, I've provided my answers (when possible) below. For any questions which I was unable to answer, or for any responses which note client follow-up is necessary, you should summarize those items in an updated questions list that we will send to the client.

In that updated version, please be sure to include the two exceptions noted during our control testing fieldwork so that we can discuss them with the client.

The updated questions list will be sent ahead of our walkthrough, and we will plan on covering those items during the call.

Please provide the updated listing to the client as soon as compiled. Thanks again for your help.

Best,
Kim

B) EMAILED ANSWERS FROM KIM (SENT AS ATTACHMENT):

1) Process & Control Changes (Which Have Occurred Since Prior Year Audit Period):

- What were the material changes made to the Purchase Policy during the most recent update cycle?

  Kim- Please perform an automated comparison of both documents to highlight any changes between the two Policy versions. Any significant updates should be discussed with the client, as they may require further audit test work.

- What is the process to review and update the Purchase Policy?

  Kim- Based on information gathered within prior year audits, the Risk Management Department conducts a review and update of the existing Purchase Policy on an annual basis.

  All updates are then reviewed and approved by the CFO before the updated Policy is implemented

Task 2–Kim's Responses

Please ensure this understanding is confirmed within the client walkthrough.

- When is the last time the Purchasing Policy was reviewed, updated (and approved for use)?
  Kim- The client has provided the latest version of the Policy (approved for use as of July 1, 2021), which has been included in the current year audit file.

  Please ensure further details surrounding the process to review and approve the Purchase Policy are included in the client walkthrough.

- Please provide all supporting documentation for this latest iteration of Purchase Policy reviews/approvals.
  Kim- These were requested from the client last week. We have these items on our documentation tracker, and will follow up with this request during our weekly status meeting with the client.

  No additional requests are needed at this time.

- What (if any) changes were made to the Purchase Request Portal during the current audit period (i.e. planned system updates, updates to reflect most recent iteration of Purchasing Policy, etc.)?
- Have there been any changes to key (purchasing process-related) personnel? ○ If so, when did those changes occur, and how were respective systems/processes updated as a result?

2) Purchase Request Portal:

a) Portal Issue Reporting:

- How are issues with the Portal typically identified/reported?
- Who are issues reported to?
- How to stakeholders know where to report issues?
- What is done after an issue is reported?
- How often is the Purchase Request Portal tested?
- Who performs those tests?
- What were the results of the last test(s) performed?

b) Purchase Approval Assignments (System Maintenance):

- How is the organizational chart within the Portal updated for each promotion cycle? • Who is assigned responsibility to make those updates?
- When are they performed?
- What documentation exists to verify that the control was performed in a complete and timely manner?

3) Approved Vendor Listing:

- Does ABC Company employ an Approved Vendor Listing (to ensure employee purchases are only made to approved vendors)?
- How does ABC Company ensure that the purchases are made to third-party (unrelated) vendors?

Task 2–Kim's Responses

4) Prior-Year Exception(s) Follow-up:

- Last year, an issue was identified in some purchase approval documentation not being able to be retrieved/provided for audit support purposes (before the Purchase Request Portal was phased in).

  Please explain the Purchasing Portal process to retain/archive the electronically provided approvals, including:
  - How long is the approval archived within the system?
  - In what instances (if any) can data be retroactively altered (i.e. to pre-date approvals)?
  - What are the controls surrounding access for the documented approvals?

5) Approval Timing:

- What controls exist to ensure that an employee does not externally submit a purchase to a vendor without the prerequisite, documented approval of such purpose?

6) Disclosure of Issues Which Occurred During the Audit Period:

- Have there been any issues of control gaps (i.e. points in the purchasing process in which risks were not adequately covered by an appropriate control)?
- Have there been any issues in control functionality (i.e. controls did not function as designed, and therefore did not identify issues for which the control was designed to detect/prevent)?
- Has your team identified any purchases which were submitted to the vendor prior to obtaining the required approvals (per the Purchasing Policy)?

7) Internal Reviews (of Purchasing Process & Controls) Performed During Audit Period:

- Have there been any internal reviews (i.e. client's internal audit team reviewed process/controls, finance team reviewed process/controls, etc.) that cover the current audit period?
- How often are the purchasing process controls reviewed/tested/updated?
- When did the last updates to these controls occur?
- When did the last internal tests of these controls occur (please provide supporting documentation)?
- Have any instances of control gaps or failures (i.e. where a control failed to identify an issue or inaccuracy in the purchasing process, or where a control area was identified for enhancement)?